VU QUIZ REPORT

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Subject: MGT411

Quiz Completed: 1/7/2026, 10:30:56 PM
Total Questions: 10
Mathematical Questions: 1
CROPPED Screenshots: 1

Question 1:

The monetary liabilities of the Federal Reserve include:

A. Currency in circulation and reserves

B. Government securities and discount loans

C. Government securities and reserves

D. Currency in circulation and reserves

Selected Answer: D

Question 2:

In the simple model of multiple deposit creation in which banks do not hold excess reserves, the increase in checkable deposits equals the product of the change in reserves and the:

A. Discount rate

B. The simple money multiplier

C. Inverse of the excess reserve ratio

D. Inverse of the simple money multiplier

Selected Answer: B

Question 3:

Zero inflation is bad because

A. It increase the default of loans

B. Both option A(1) & B (2)

C. It increase risk of deflation

D. None of given options

Selected Answer: C

Question 4:

Which type of credit is used for short term basis by the central bank?

A. Seasonal credit

B. Secondary credit

C. None of above

D. Primary credit,

Selected Answer: D

Question 5:

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

A. Non bank public

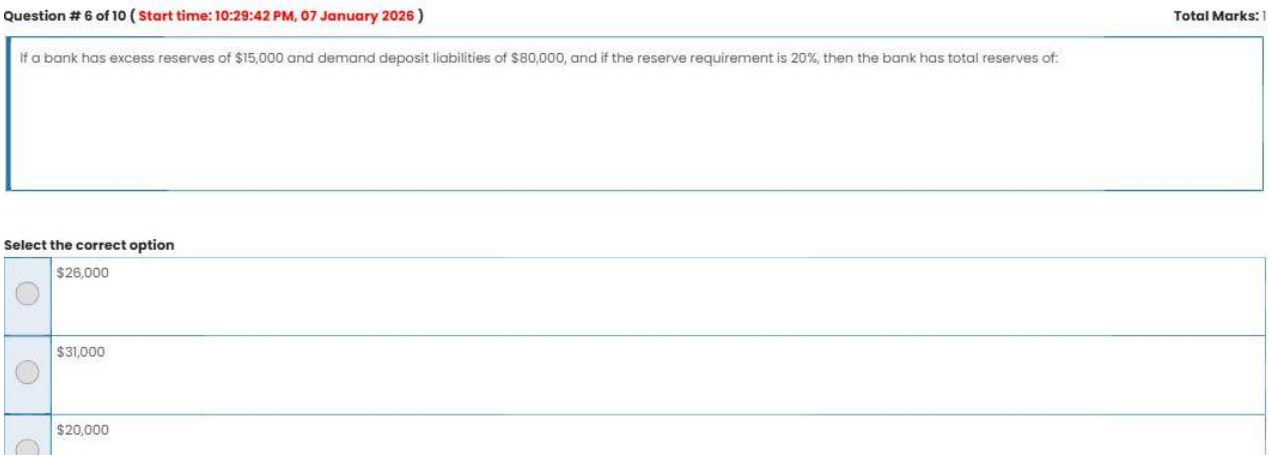
B. Bank regulators

C. Central bank

D. Commercial banks

Selected Answer: D

Question 6:



You selected: B

Mathematical question (CROPPED screenshot - top 20% removed)

Selected Answer: B

Question 7:

Cash become less desirable when _____.

A. Riskiness of alternative holdings rises

B. Interest rates rise

C. None of the given options

D. Liquidity falls

Selected Answer: B

Question 8:

The State Bank of Pakistan chooses to organize the federal funds rate by manipulating the quantity of reserves by?

A. None of above

B. Open market operation

C. Target Federal fund rate

D. Discount lending

Selected Answer: B

Question 9:

Successful monetary policy relies on:

A. The institutional environment

B. Knowledgeable citizens who know how to react to the policy

C. Competent people in responsible positions

D. Competent people in responsible positions and knowledgeable citizens who know how to react to the policy

Selected Answer: D

Question 10:

The equation of exchange is written by --------?

A. None of above

B. Marshall

C. Milton Friedman

D. Irving Fisher

Selected Answer: D

Mathematical Questions Note:

Questions containing mathematical equations and symbols are displayed as CROPPED screenshots (top 20% removed for privacy) to preserve the original formatting. Your selected answers are displayed below each screenshot for easy reference.